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S. Korea Telecoms | Asia Pacific

Data Center optionality not reflected in current valuations

We see a growing narrative on the need for data centers in Korea, and capacity expansion plans have been announced by the carriers, offering an attractive option value for the shares. Having underperformed its peers for 1H26 we upgrade KT to OW and it becomes our preferred pick among the three.

All three operators are pivoting to bigger data center build outs: Since the start of June, multiple Korean companies have come out with plans to build out data center capacity, including SKT and KT. SKT announced plans to build out 5GW of capacity starting 2029, citing a longer term goal to reach 15GW. KT's new management presented plans to increase investments on AI infrastructure targeting 1GW of capacity within the next five years ([see here](#)). LGU is targeting 270MW of in-house DC capacity by 2030, nearly doubling its existing stock.

We see the AI Infra story as a potential re-rating catalyst: While the timing of new capacity coming online, and the return profiles per business model (full stack, co-location, GPU leased, DBO, etc.) remain moving variables, we expect data center revenues to outpace legacy telco services, raising the mix of AI Infra revenues. As the stock prices have yet to reflect much, if any, valuation premium from the AI Infra story, we believe successful execution could serve as a re-rating catalyst

Upgrade KT to Overweight on AI Infra momentum: We expect KT's AI story to gain momentum with new management having presented plans to increase investment on AI Infra (DCs, subsea cables, etc.) and corporate AI services. We also expect earnings momentum to recover in 2H26, with customer compensation expenses relating to the data breach no longer serving as a drag. The stock has pulled back 24% from its highs in Feb, and is trading at 10x P/E with a 6.5% TSR, which we see as reflecting zero upside from AI infrastructure.

Rising interest rates does present a headwind for yields: From a macro perspective we highlight the fact that the BOK raised its benchmark rate by 25bps in July ([BoK Review: Hike Cycle Kicks Off](#)), and our macro team is guiding for terminal rates above 3% by next year. A rising interest rate environment has tended to be negative for telco shares which is why **we downgrade LGU to Equal-weight**. Reflecting the higher rates, we have increased the risk-free rate applied to our DCF and DDM models by 50bps to 4.5%.

Maintain Equal-weight for SKT: We raise our price target to W90,000 (from W80,000) as we reflect higher value for the company's AI investments into our SoTP which more than offsets the impact of higher risk free rate to parent valuations (DDM). We are also positive on SKT's initiatives to build out a large portfolio of AIDCs but would like to get more clarity on the capital commitment required and expected returns from its hybrid model.

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S. KOREA TELECOMS & INTERNET		
Asia Pacific		
Industry View	In-Line	
WHAT'S CHANGED		
LG Uplus Corp (032640.KS)	From	To
Rating	Overweight	Equal-weight
Price Target	W18,000	W17,000
KT Corp (030200.KS)	From	To
Rating	Equal-weight	Overweight
Price Target	W64,000	W62,000
SK Telecom Co Ltd (017670.KS)	From	To
Price Target	W80,000	W90,000

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Stock ratings and key charts

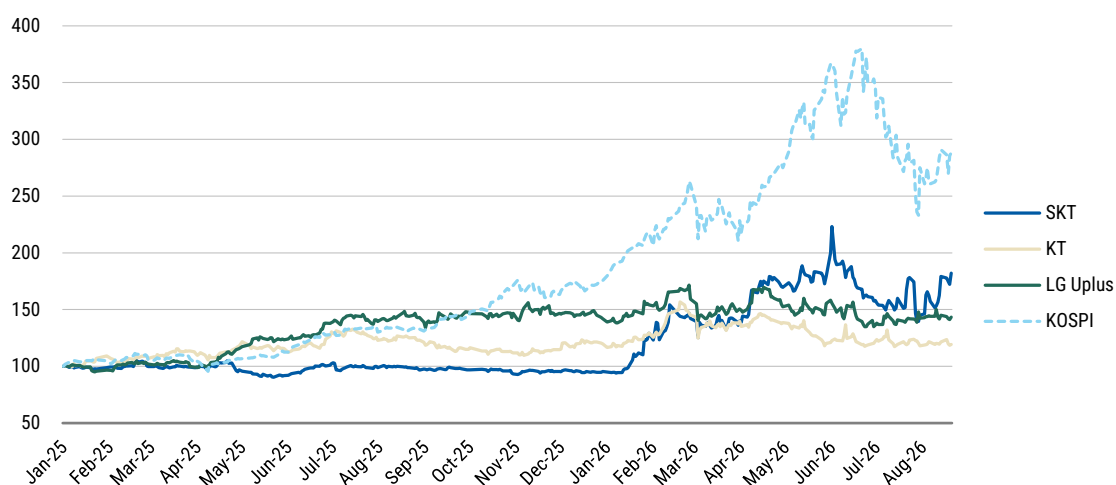
Our stock calls and rating changes

KT Corp (Upgrade to Overweight, PT lowered to W62,000): We expect KT's AI story to gain momentum with new management having presented plans to increase investment on AI Infra (DCs, subsea cables, etc.) and corporate AI services. We also expect earnings momentum to recover in 2H26, with customer compensation expenses relating to the data breach no longer serving as a drag. Stock has pulled back 24% from its highs in Feb, and is trading at 10x P/E with a 6.5% TSR, which we see reflecting zero upside from AI infrastructure. Reflecting a higher WACC, we lower our PT by 3% but we still see 18% upside.

LG Uplus (Downgrade to Equal-weight, PT lowered to W17,000): While LGU's earnings recovery is well in play, a softer narrative on AI Infra, and in-line shareholder returns has kept the share price capped. Given the need for a clear catalyst to gain investor attention, and a rising interest rate environment, we await build-out of the company's Paju data centers contributing to DC revenues in future quarters before turning constructive again. Reflecting the higher WACC, we lower our PT by 6%.

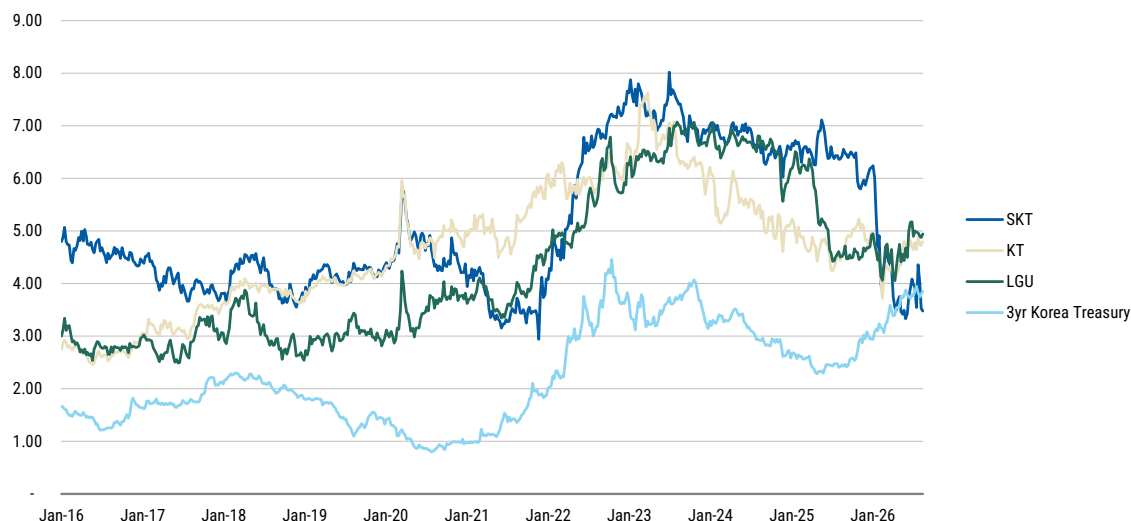
SK Telecom (Maintain Equal-weight, PT raised to W90,000): We raise our price target to W90,000 (from W80,000) as we reflect higher value for the company's AI investments into our SoTP. We are also positive on SKT's initiatives to build out a large portfolio of AIDCs under SK Hyper but would like to get more clarity on the capital commitment required and expected returns from its proposed hybrid model.

Exhibit 1: Korean telcos' share price performance 2025 and 2026 YTD: while all three operators have underperformed the KOSPI, their shares have performed well in 2026



Source: FactSet, Morgan Stanley Research

Exhibit 2: 10-year historical dividend yields:



Source: Factset, Morgan Stanley Research

Exhibit 3: Asian telecoms valuation comparables analysis: Korean telcos no longer trade at a discount to regional peers on shareholder return basis

Company	Mkt Cap (US\$m)	Target Price	Price 25-Aug-26	Up/down side	P/E		EV/EBITDA		EV/Sales		FCF Yield		Div Yield		P/BV		25-28 CAGR	
					2026	2027	2026	2027	2026	2027	2026	2027	2026	2027	2026	2027	EPS	DPS
Asia Pacific																		
Korea																		
KT Corp	10,007	62,000	53,000	17%	9.9	9.0	3.8	3.7	0.8	0.7	9.9%	11.5%	4.5%	5.3%	0.7	0.7	-4.7%	7.7%
LG Upplus	4,634	17,000	14,910	14%	9.1	7.4	3.0	2.7	0.8	0.7	9.8%	19.9%	4.7%	5.0%	0.7	0.7	20.8%	7.2%
SK Telecom	15,225	90,000	98,900	-9%	16.4	15.2	5.5	5.2	1.6	1.5	7.5%	5.4%	3.4%	3.4%	1.6	1.5	52.5%	29.0%
China																		
China Mobile	222,285	80.00 HKD	80.15 HKD	0%	11.5	11.1	4.7	4.5	1.3	1.3	8.9%	11.2%	7.7%	8.2%	1.0	1.0	1.6%	5.7%
China Telecom	83,234	5.00 HKD	4.94 HKD	1%	13.2	13.0	4.3	4.0	1.0	0.9	11.2%	14.1%	6.4%	6.8%	0.8	0.8	-0.7%	3.9%
China Unicom	22,559	7.00 HKD	5.78 HKD	21%	8.1	7.9	1.6	1.2	0.3	0.2	11.2%	29.8%	7.4%	8.0%	0.4	0.4	1.0%	4.7%
China Communication Service	3,543	4.40 HKD	4.01 HKD	10%	6.5	6.1	0.6	0.3	0.0	0.0	38.8%	6.9%	6.8%	7.4%	0.5	0.5	3.7%	6.0%
Taiwan																		
Chunghwa Telecom	33,194	135.00	136.50	-1%	26.4	25.7	(0.3)	(0.4)	(0.1)	(0.1)	5.0%	5.1%	4.0%	4.1%	2.7	2.8	3.3%	3.3%
Taiwan Mobile	13,422	120.00	115.50	4%	21.7	21.0	10.3	9.9	2.1	2.0	7.4%	8.3%	4.6%	4.8%	4.1	4.0	6.0%	5.2%
Far Eastone	11,513	110.00	102.50	7%	23.9	22.3	9.9	9.2	3.3	3.1	7.1%	7.5%	4.2%	4.5%	3.9	3.9	9.5%	9.4%
Hong Kong																		
HKT Trust and HKT	11,795	14.00	12.20	15%	16.6	16.0	9.3	9.0	3.7	3.6	7.9%	8.3%	7.0%	7.2%	2.6	2.6	4.4%	3.0%
PCCW Ltd	5,258	5.80	5.33	9%	47.9	39.1	8.0	8.0	2.7	2.8	-1.2%	0.0%	7.5%	7.7%	NM	NM	NM	3.0%
Singapore																		
Singapore Telecom	56,517	5.50	4.49	22%	26.8	24.3	23.7	20.3	6.4	5.4	-0.7%	1.1%	4.1%	4.4%	2.6	2.6	11.9%	6.8%
India																		
Bharti Airtel	110,257	2,442.00	1,935.00	26%	30.0	36.2	9.4	8.2	5.4	4.7	6.0%	2.9%	1.2%	1.7%	7.5	7.7	36.5%	38.9%
Malaysia																		
Axiata	4,324	3.40	1.90	79%	16.3	13.4	6.5	6.0	3.0	2.9	11.5%	12.4%	5.8%	6.7%	0.8	0.8	25.2%	13.7%
Telekom Malaysia	7,466	7.60	7.86	-3%	18.3	18.1	7.0	6.7	2.5	2.4	-0.7%	0.0%	4.1%	4.2%	2.7	2.6	-0.5%	2.0%
Maxis Berhad	7,388	3.90	3.81	2%	18.0	17.9	8.4	8.2	3.4	3.3	7.3%	6.4%	4.7%	5.0%	4.7	4.5	3.2%	4.6%
Celcomdigi Berhad	8,305	2.64	2.86	-8%	19.2	17.9	8.1	7.7	3.4	3.2	9.1%	9.3%	5.0%	5.4%	2.1	2.1	7.4%	2.9%
Thailand																		
Advanced Info Service	32,731	450.00	360.00	25%	20.5	19.4	9.9	9.5	5.6	5.3	6.4%	6.4%	4.6%	4.9%	15.8	14.7	7.0%	-18.3%
Indonesia																		
PT Telkom	14,659	3,200.00	2,620.00	22%	12.5	11.5	3.7	3.5	1.8	1.7	10.3%	10.6%	7.1%	7.7%	2.0	1.9	11.4%	11.1%
PT Indosat	4,791	2,350.00	2,630.00	-11%	15.0	13.8	4.8	4.5	2.3	2.2	11.6%	11.8%	4.3%	4.7%	2.1	2.0	7.4%	17.0%
XL Axiata	2,775	1,800.00	2,700.00	-33%	24.7	16.0	5.6	5.6	2.4	2.5	-32.9%	-21.2%	1.8%	3.7%	2.0	2.4	-1.0%	-24.2%
Philippines																		
PLDT	4,185	1,600.00	1,195.00	34%	7.2	6.8	4.9	4.7	2.4	2.3	5.2%	7.0%	8.3%	8.9%	1.8	1.6	6.8%	6.8%
Globe Telecom Inc.	3,962	2,550.00	1,682.00	52%	9.1	8.3	5.1	4.8	2.5	2.4	4.5%	-7.3%	6.0%	6.5%	1.5	1.4	8.4%	11.2%
AN&Z																		
Telstra	41,788	5.25	4.70	12%	23.7	21.5	9.1	8.2	3.4	3.2	7.0%	7.1%	4.5%	4.7%	4.6	4.7	6.7%	6.6%
TPG Telecom	5,132	3.60	3.85	-6%	74.7	70.0	6.5	6.3	2.2	2.1	-8.8%	-7.5%	5.2%	5.5%	0.9	0.9	28.8%	6.9%
Spark New Zealand	2,455	1.90	2.18	-13%	8.5	17.1	3.4	5.0	1.2	1.4	15.7%	8.2%	7.3%	7.3%	2.5	2.6	8.1%	-13.8%
Japan																		
NTT	86,603	150.00	169.20	-11%	13.1	12.3	7.9	7.7	2.0	1.9	3.5%	5.4%	3.2%	3.3%	1.3	1.3	7.0%	3.1%
Softbank	183,884	8,000.00	5,087.00	57%	46.9	42.4	16.6	16.0	5.3	5.1	2.8%	2.9%	0.2%	0.2%	1.6	1.5	-47.2%	0.0%
Median					17.3	16.6	6.5	6.2	2.4	2.3	7.2%	7.0%	4.7%	5.0%	2.0	2.0	7.0%	5.4%

Note: Pricing as of August 25, 2026

Source: Morgan Stanley Research estimates

KT Corp (EW): Upgrade to Overweight

Exhibit 4: KT Corp: Parent-only financials

Income Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Service revenue	16,479	16,440	16,536	16,600
Handset revenue	2,845	2,874	2,788	2,760
Total operating revenue	19,324	19,313	19,324	19,359
Labor	1,848	1,977	2,037	2,067
Depreciation and amortisation	3,241	3,141	3,116	3,143
Commissions	2,394	2,424	2,411	2,408
Interconnection fees	398	390	383	379
Other cost of service	129	144	145	146
Cost of handset sold	2,841	2,960	2,871	2,843
Sales expense	2,835	2,627	2,582	2,563
Bad debt expense	53	56	56	57
Advertising	140	144	145	146
Other	4,141	4,085	4,095	4,094
Total operating expenses	18,019	17,948	17,842	17,845
Operating profit	1,305	1,365	1,482	1,515
Operating profit margin	6.8%	7.1%	7.7%	7.8%
Net non-operating income (expense)	152	150	150	150
Net finance income (expense)	-115	-60	-100	-100
Profit before tax	1,342	1,455	1,532	1,565
Income tax expense	280	304	320	327
Effective tax rate	20.9%	20.9%	20.9%	20.9%
Net profit	1,062	1,152	1,212	1,238
Net profit margin	5.5%	6.0%	6.3%	6.4%
Diluted EPS (KRW)	4,396	4,852	5,198	5,406
Dividend per share (KRW)	2,400	2,400	2,800	3,000

Key Metrics

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Subscribers				
Wireless	28,985	30,385	31,195	31,929
Broadband	10,170	10,290	10,380	10,440
IPTV	9,533	9,563	9,563	9,533
Churn rate	0.00%	0.00%	0.00%	0.00%
Handset upgrade rate	0.94%	0.90%	0.86%	0.82%
ARPU				
Wireless (ex-IoT / MVNO)	35,181	34,899	35,457	35,812
Broadband	20,981	20,876	20,876	20,876
IPTV	18,604	18,511	18,325	18,142
Marketing expense ratio	17.6%	16.9%	16.4%	16.2%
Net debt (cash)	5,260	4,941	4,688	4,485
Net debt (cash) / equity	34.5%	31.8%	29.4%	27.6%
Return on average equity	7.2%	7.5%	7.7%	7.7%
Return on net tangible assets	8.3%	8.8%	9.4%	9.5%
Free cash flow	1,409	1,148	1,071	1,104
FCF yield	11.1%	9.2%	8.7%	9.2%

Balance Sheet

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Cash and equivalents	1,586	1,905	2,158	2,361
Financial assets	223	223	223	223
Receivables	2,916	2,910	2,912	2,917
Inventory	94	94	94	94
Other current assets	2,394	2,394	2,394	2,394
Total current assets	7,213	7,526	7,781	7,989
Receivables	363	363	363	363
Financial assets	2,685	2,685	2,685	2,685
Property, plant and equipment	10,932	10,946	11,138	11,301
Right-of-use assets	812	812	812	812
Investment in real estate	1,124	1,124	1,124	1,124
Intangibles	843	750	699	672
Equity investment	4,821	4,821	4,821	4,821
Other non-current assets	885	885	885	885
Total non-current assets	22,465	22,386	22,527	22,663
Total assets	29,678	29,912	30,308	30,652
Payables	4,322	4,233	4,235	4,243
S/T Borrowings	1,324	1,324	1,324	1,324
Other current liabilities	1,217	1,217	1,217	1,217
Total current liabilities	6,862	6,774	6,776	6,784
Payables	207	207	207	207
L/T borrowings	5,745	5,745	5,745	5,745
Other non-current liabilities	1,637	1,637	1,637	1,637
Total non-current liabilities	7,589	7,589	7,589	7,589
Share capital	3,005	3,005	3,005	3,005
Retained earnings	12,220	12,543	12,936	13,273
Others	2	2	2	2
Total shareholders' equity	15,227	15,550	15,943	16,279
Total liabilities and equity	29,678	29,912	30,308	30,652

Cash Flow Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Net profit	1,062	1,152	1,212	1,238
Depreciation and amortisation	2,919	2,846	2,818	2,842
Chg in working capital	25	-83	1	2
Other operating cash flow	422	0	0	0
Cash flow from operations	4,429	3,914	4,031	4,083
Capital expenditure	-2,420	-2,373	-2,565	-2,580
Intangible spending	-283	-393	-394	-398
Purchase of financial instruments	-30	0	0	0
Equity investments	13	0	0	0
Other investments	60	0	0	0
Cash flow from investments	-2,660	-2,766	-2,959	-2,978
Issuance (repayment) of borrowing	-724	0	0	0
Dividend paid	-559	-579	-569	-652
Other financing cash flow	-440	-250	-250	-250
Cash flow from financing activities	-1,723	-829	-819	-902
FX impact	0	0	0	0
Net change in cash and equivalents	45	319	253	203
Beginning cash balance	1,541	1,586	1,905	2,158
Ending cash balance	1,586	1,905	2,158	2,360

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 5: KT Corp: Consolidated financials**Income Statement**

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
KT Parent	19,324	19,313	19,324	19,359
Other subsidiaries	16,772	16,948	16,209	16,514
Total revenue	36,096	36,261	35,533	35,873
Depreciation	2,830	2,759	2,773	2,817
Amortisation	608	649	606	585
Other operating expenses	22,337	21,851	21,983	22,073
Total operating expenses	25,775	25,260	25,362	25,475
EBITDA	5,907	5,490	5,522	5,619
EBITDA margin %	16.4%	15.1%	15.5%	15.7%
Operating profit	2,469	2,081	2,143	2,217
KT Parent	1,305	1,365	1,482	1,515
Other subsidiaries	1,164	716	661	702
Operating profit margin	6.8%	5.7%	6.0%	6.2%
KT Parent	6.8%	7.1%	7.7%	7.8%
Other subsidiaries	6.9%	4.2%	4.1%	4.3%
Net non-operating income (expense)	76	-70	-90	-90
Net finance income (expense)	-145	-160	-70	-70
Equity method gain (loss)	18	0	0	0
Profit before tax	2,418	1,851	1,983	2,057
Income tax expense	581	481	516	535
Effective tax rate	24.0%	26.0%	26.0%	26.0%
Minority interest	106	100	100	100
Net profit	1,731	1,270	1,367	1,422
Net profit margin	4.8%	3.5%	3.8%	4.0%
Diluted EPS (KRW)	7,167	5,351	5,864	6,209
Dividend per share (KRW)	2,400	2,400	2,800	3,000

Key Ratios

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Growth y-y				
Total revenue	6.9%	-3.2%	0.6%	0.7%
Operating profit	205.0%	-15.7%	3.0%	3.5%
Net profit	339.7%	-25.4%	7.1%	3.7%
Earning per share	275.3%	-25.3%	9.6%	5.9%
Profit margin				
Operating profit	6.8%	5.7%	6.0%	6.2%
Net profit	4.8%	3.5%	3.8%	4.0%
Net debt / (cash)				
Net debt / equity	32.0%	29.9%	26.8%	24.0%
Working capital	-350	-75	-80	-85
Return on average equity	10.2%	7.1%	7.5%	7.6%
Return on assets	4.0%	2.9%	3.1%	3.2%
Free cash flow				
FCF yield	7.1%	9.4%	10.8%	11.5%
FCF / revenue	3.2%	4.3%	4.8%	5.0%

Balance Sheet

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Cash and equivalents	3,507	3,776	4,208	4,618
Financial assets	1,627	1,627	1,627	1,627
Receivables	5,845	5,993	6,028	6,070
Inventory	416	416	416	416
Other current assets	2,582	2,582	2,582	2,582
Total current assets	13,978	14,394	14,862	15,313
Receivables	2,069	2,069	2,069	2,069
Financial assets	3,363	3,363	3,363	3,363
Property, plant and equipment	14,259	14,272	14,464	14,628
Right-of-use assets	1,538	1,538	1,538	1,538
Real estate investment	2,872	2,872	2,872	2,872
Intangibles	1,557	1,461	1,409	1,382
Equity investment	1,564	1,564	1,564	1,564
Other non-current assets	1,750	1,750	1,750	1,750
Total non-current assets	28,971	28,889	29,030	29,166
Total assets	42,949	43,283	43,892	44,479
Payables	6,869	6,742	6,782	6,828
S/T Borrowings	2,500	2,500	2,500	2,500
Other current liabilities	2,325	2,325	2,325	2,325
Total current liabilities	11,693	11,566	11,606	11,652
Payables	328	328	328	328
L/T borrowings	8,286	8,286	8,286	8,286
Other non-current liabilities	3,183	3,183	3,183	3,183
Total non-current liabilities	11,798	11,798	11,798	11,798
Share capital	3,005	3,005	3,005	3,005
Retained earnings	14,964	15,326	15,794	16,235
Others	-313	-313	-313	-313
Shareholders' equity	17,656	18,017	18,486	18,926
Non-controlling interest	1,802	1,902	2,002	2,102
Total liabilities and equity	42,949	43,283	43,892	44,479

Cash Flow Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Net profit	1,837	1,370	1,467	1,522
Depreciation and amortisation	3,438	3,408	3,378	3,402
Change in working capital	-429	-275	4	5
Other operating cash flow	96	0	0	0
Cash flow from operations	4,942	4,504	4,850	4,929
Capital expenditure	-3,597	-2,773	-2,965	-2,980
Intangible spending	-444	-553	-554	-558
Purchase of financial instruments	-696	0	0	0
Other investments	219	0	0	0
Cash flow from investments	-4,518	-3,326	-3,519	-3,538
Change in borrowing	426	0	0	0
Dividend paid	-578	-659	-649	-732
Other financing cash flow	-480	-250	-250	-250
Cash flow from financing activities	-632	-909	-899	-982
FX impact	-2	0	0	0
Net change in cash and cash equivalents	-210	269	433	409
Beginning cash balance	3,717	3,507	3,776	4,208
Ending cash balance	3,507	3,776	4,208	4,618

Source: Company data, Morgan Stanley Research (E) estimates

Changes to our estimates

Exhibit 6: KT Corp: Summary of changes to our parent-only and consolidated estimates

KRW bn	Revised estimates			Old estimates			Difference (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
KT Corp: Parent only									
Total revenue	19,313	19,324	19,359	19,324	19,354	19,392	-0.1%	-0.2%	-0.2%
Wireless	7,127	7,215	7,279	7,115	7,203	7,267	0.2%	0.2%	0.2%
Fixed line	5,280	5,239	5,189	5,324	5,294	5,252	-0.8%	-1.0%	-1.2%
B2B Service	3,570	3,606	3,642	3,606	3,660	3,710	-1.0%	-1.5%	-1.8%
Real Estate & Other	463	476	489	434	447	459	6.5%	6.5%	6.5%
Handset sales	2,874	2,788	2,760	2,874	2,788	2,760	0.0%	0.0%	0.0%
Operating expenses	17,948	17,842	17,845	17,941	17,927	17,892	0.0%	-0.5%	-0.3%
Labor	1,977	2,037	2,067	1,935	1,993	2,043	2.2%	2.2%	1.2%
General expense	7,658	7,630	7,658	7,777	7,740	7,711	-1.5%	-1.4%	-0.7%
D&A	3,141	3,116	3,143	3,234	3,189	3,148	-2.9%	-2.3%	-0.2%
Commission	2,424	2,411	2,408	2,412	2,400	2,398	0.5%	0.5%	0.4%
Cost of service	2,669	2,666	2,658	2,721	2,716	2,707	-1.9%	-1.8%	-1.8%
Selling expense	2,683	2,638	2,620	2,563	2,621	2,603	4.7%	0.7%	0.6%
Cost of merchandise	2,960	2,871	2,843	2,946	2,857	2,829	0.5%	0.5%	0.5%
EBITDA	4,506	4,597	4,658	4,647	4,654	4,704	-3.0%	-1.2%	-1.0%
EBITDA margin %	23.3%	23.8%	24.1%	24.0%	24.0%	24.3%			
Operating profit	1,365	1,482	1,515	1,412	1,464	1,555	-3.3%	1.2%	-2.6%
OPM %	7.1%	7.7%	7.8%	7.3%	7.6%	8.0%			
Capex	2,373	2,565	2,580	2,547	2,485	2,501	-6.8%	3.2%	3.1%
KT Corp: Consolidated									
Total revenue	27,341	27,505	27,692	27,281	27,473	27,681	0.2%	0.1%	0.0%
KT Parent	19,313	19,324	19,359	19,354	19,392	19,448	-0.2%	-0.4%	-0.5%
Other subsidiaries	8,028	8,181	8,333	7,928	8,081	8,233	1.3%	1.2%	1.2%
Operating expenses	25,260	25,362	25,475	25,177	25,357	25,516	0.3%	0.0%	-0.2%
Operating profit	2,081	2,143	2,217	2,105	2,116	2,164	-1.1%	1.3%	2.4%
KT Parent	1,365	1,482	1,515	1,412	1,464	1,555	-3.3%	1.2%	-2.6%
Other subsidiaries	716	661	702	692	651	609	3.4%	1.5%	15.3%
OPM %	7.6%	7.8%	8.0%	7.7%	7.7%	7.8%			
KT Parent	7.1%	7.7%	7.8%	7.3%	7.6%	8.0%			
Other subsidiaries	8.9%	8.1%	8.4%	8.7%	8.1%	7.4%			
EBITDA	5,490	5,522	5,619	5,572	5,532	5,537	-1.5%	-0.2%	1.5%
EBITDA margin %	20.1%	20.1%	20.3%	20.4%	20.1%	20.0%			
Net profit to shareholders	1,270	1,367	1,422	1,287	1,347	1,383	-1.3%	1.5%	2.8%
Diluted EPS (KRW)	5,351	5,864	6,209	5,423	5,776	6,039	-1.3%	1.5%	2.8%

Source: Morgan Stanley Research estimates

Exhibit 7: KT Corp: Our consolidated OP estimates are slightly below consensus

KRW bn	MS			Consensus			MS vs. consensus %		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	27,341	27,505	27,692	27,738	28,317	28,843	-1.4%	-2.9%	-4.0%
EBITDA	5,490	5,522	5,619	5,934	6,021	6,085	-7.5%	-8.3%	-7.7%
OP	2,081	2,143	2,217	2,086	2,265	2,393	-0.2%	-5.4%	-7.4%
NP	1,270	1,367	1,422	1,473	1,619	1,744	-13.8%	-15.5%	-18.4%

Source: FactSet consensus estimates, Morgan Stanley Research estimates

Valuation methodology

We apply a sum-of-the-parts valuation for KT, in which we use DCF to value the parent-only telecom operations, the market value for its listed subsidiaries and target price-to-book (P/B) ratio for KT Estate and BC Card.

- For our DCF valuation of the parent operation, we apply a higher WACC of 7.2% (up from previous 6.8%), reflecting our higher risk-free rate assumption of 4.5% (up from previous 4%), 8.1% cost of equity (up from 7.6%) and terminal growth rate assumption of 0% (unchanged).
- For listed subsidiaries KT Skylife, Genie Music, KT Alpha and Nasmedia, we continue to apply a 30% discount to market values proportionate to KT's equity stakes.
- For KT Estate, we use 1x P/B (unchanged), reflecting the real estate arm's land base, but apply a 30% discount (unchanged) given the limited synergies with the main telecom operations.
- For BC Card, we apply 0.5x P/B (unchanged) to account for the credit card business, in line with listed comps. We add our base-case value for K-Bank at W4tn, in which BC Card holds a 34% stake. We continue to apply a 30% discount, given limited synergies with the main telecom operations.

At our new price target of W62,000, KT would trade at 10x P/E, based on our revised 2026 estimates, offering a 4.5% dividend yield and 6.5% TSR to market cap.

We lower our bull case value to W75,000 (from W80,000) to reflect the higher WACC while our bear case value is unchanged at W48,000.

Exhibit 8: KT Corp: Parent-only DCF and SoTP valuation

KT Parent only: Discounted cash flow valuation	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Discount year	0	1	2	3	4	5	6	7	8	9	10
NOPAT	1,024	1,111	1,136	1,202	1,208	1,210	1,202	1,190	1,170	1,145	1,121
+ D&A	3,141	3,116	3,143	3,097	3,104	3,123	3,153	3,177	3,198	3,229	3,259
- Capex & intangibles	-2,766	-2,959	-2,978	-3,247	-3,772	-3,775	-3,604	-3,431	-3,344	-3,256	-3,167
= FCF	1,398	1,268	1,301	1,053	540	557	751	936	1,024	1,118	1,214

Terminal value	16,966
Terminal growth rate	0.0%
WACC	7.2%

SoTP calculation	Valuation Method	Stake	Discount	Fair value	FV per Share (W)
KT Parent only	DCF	100.0%	0.0%	9,838	41,500
KT Cloud	Transaction value	86.3%	25.0%	2,779	11,700
KT Skylife	Mark to market	50.3%	30.0%	68	300
Genie Music	Mark to market	36.6%	30.0%	18	100
KT Alpha	Mark to market	67.1%	30.0%	108	500
Nasmedia	Mark to market	42.8%	30.0%	45	200
KT Estate	1.0x book	100.0%	30.0%	1,212	5,100
BC Card	0.5x book	69.5%	30.0%	689	2,900

Fair value of KT Corp

14,755

Fair value per share (KRW, rounded to W1,000)

62,000

Source: Morgan Stanley Research estimates

WACC Calculation	
Risk free rate	4.5%
Equity risk premium	6.0%
Beta	0.60
Cost of equity	8.1%
Equity weighting	80%

Risk Reward – KT Corp (030200.KS)

We see good mix of "value up" and AI infrastructure upside.

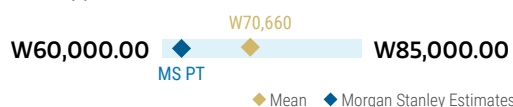
PRICE TARGET W62,000

Base case: 0% discount to SoTP value.

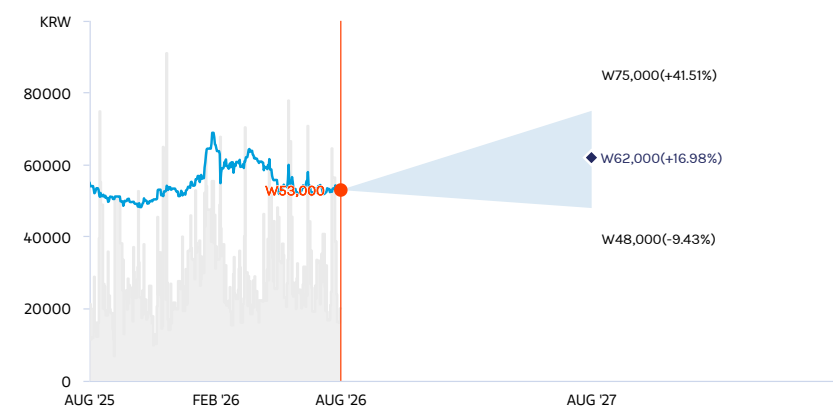
- Parent-only telecom operations: DCF, WACC 7.2%, terminal growth rate 0%.
- Listed subsidiaries (KT Skylife, Genie Music, KT Alpha, Nasmedia): market value with 30% holdco discount applied.
- KT Estate: target PBR of 1.0x (reflecting land value), 30% discount applied.
- BC Card: target PBR of 0.5x, 30% discount applied.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



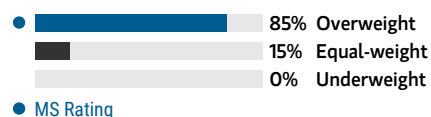
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We are positive on new management's strategic direction to maintain existing "value up" initiatives while increasing investments in AI infrastructure (including AIDCs).
- We expect near term earnings momentum to improve as negative impact from "customer compensation measures" unwind in 2H26.
- With the shares trading at 10x P/E, and offering a 6.5% TSR, we believe potential upside from AI infrastructure is not being reflected in current valuations.
- We see potential upside from additional non-core asset sales including real estate assets, and/or non-core subsidiaries.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W75,000

14x bull case 2026e EPS

Wireless revenues show stronger growth over a longer horizon, driving parent OP margins to 10%+, while capex remains manageable during 6G rollout. We also assume AI initiatives drive valuation for KT Cloud to W7tn market cap, which flows into our SoTP valuation.

BASE CASE

W62,000

12x base case 2026e EPS

KT parent operating margins improve to 9% levels starting 2027 with RoIC coming close to 10% levels ahead of 6G rollout around 2030. We assume stable operating margins for core subsidiaries BC Card, KT Estate, and KT's media subsidiaries.

BEAR CASE

W48,000

9x bear case 2026e EPS

We project slower wireless revenue growth coupled with higher capex, resulting in parent OP margins improvement capped to 9% levels and RoIC peaking at 9% levels over the medium term.

Risk Reward – KT Corp (030200.KS)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Wireless revenue (W, bn)	7,127	7,215	7,279	7,326
Marketing spend (Parent) (W, bn)	2,970	2,858	2,811	2,792
Capital expenditure (Parent) (W, bn)	2,251	2,373	2,565	2,580

CATALYST CALENDAR

Date	Event
05 Nov 2026 - 09 Nov 2026	Q3 2026 KT Corp Earnings Release

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Wireless revenue growth and capex
- Marketing expenditure
- B2B/enterprise revenues, including upcoming AI opportunities

GLOBAL REVENUE EXPOSURE



100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger growth for B2B/enterprise business led by AI initiatives
- Further restructuring that unlocks value for shareholders
- Additional shareholder return measures

RISKS TO DOWNSIDE

- Regulatory pressure leading to tariff cuts and/or higher capex
- Renewed competition risk
- Slower progress on AI initiatives

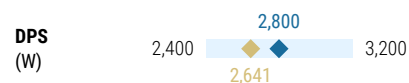
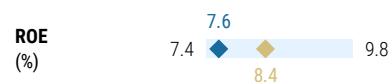
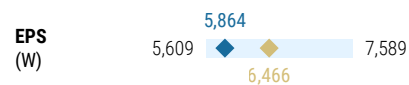
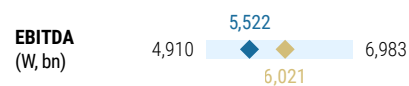
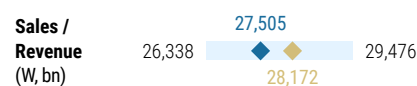
OWNERSHIP POSITIONING

Inst. Owners, % Active 99.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

LG Uplus: Downgrade to Equal-weight

Exhibit 9: LG Uplus: Consolidated financials

Income Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Service revenue	12,263	12,486	12,683	12,894
LGU	11,383	11,656	11,863	12,084
LG Hellovision	881	830	820	810
Equipment sales	3,189	2,927	2,863	2,835
Total revenue	15,452	15,413	15,546	15,729
Cost of handset sold	3,305	3,068	3,023	3,003
Labor	2,132	1,961	2,040	2,105
Depreciation	2,210	2,257	2,286	2,339
Amortization	487	488	475	470
Rent	89	91	94	96
Advertising	210	204	196	187
Sales commission	2,225	2,366	2,254	2,260
Fees and charges	1,801	1,807	1,827	1,849
Interconnection fees	440	408	388	384
Telecom circuit rent	283	285	288	290
Other expenses	1,380	1,375	1,402	1,431
Total operating expenses	14,560	14,311	14,271	14,414
Operating profit	892	1,102	1,274	1,316
LGU Only	912	1,106	1,280	1,324
LG Hellovision	19	16	14	12
Operating profit margin	5.8%	7.2%	8.2%	8.4%
LGU Only	6.3%	7.6%	8.7%	8.9%
LG Hellovision	2.1%	1.9%	1.7%	1.5%
Net interest income (expense)	-212	-210	-173	-152
Equity method gain (loss)	-2	0	0	0
Net non-operating income (expense)	2	30	30	30
Profit before tax	680	922	1,132	1,194
Corporate tax	171	231	283	298
Effective tax rate	25.2%	25.0%	25.0%	25.0%
Profit from discontinued operations	0	0	0	0
Net income to non-controlling interest	-15	-10	-10	-10
Net profit	524	702	859	905
Net profit margin	3.4%	4.6%	5.5%	5.8%
Earnings per share (KRW)	1,230	1,633	2,028	2,169
Modelware EPS (KRW)	1,230	1,633	2,028	2,169
Dividend per share (KRW)	650	700	750	800

Key Metrics

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Subscribers				
Wireless	30,711	32,421	33,913	35,254
Broadband	5,578	5,728	5,833	5,907
IPTV	5,739	5,829	5,901	5,959
Churn rate	1.5%	1.4%	1.3%	1.3%
Handset upgrade rate	1.4%	1.4%	1.4%	1.4%
ARPU				
Wireless service	23,213	0	0	0
Broadband	18,667	19,227	19,689	20,067
IPTV	19,548	19,431	19,236	19,044
Marketing expense ratio	20.6%	21.6%	20.3%	19.9%
Net debt (cash)	4,691	4,672	4,053	3,479
Net debt (cash) / equity	52.9%	50.8%	42.0%	34.3%
Return on average equity	6.0%	7.8%	9.1%	9.1%
Return on net tangibles assets	5.6%	6.8%	7.9%	8.2%
Free cash flow	706	386	1,020	992
FCF yield	11.1%	6.0%	16.2%	16.0%

Balance Sheet

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Cash and cash equivalents	794	613	1,032	1,406
Bank deposits	96	96	96	96
Account receivables	1,681	1,774	1,789	1,810
Inventory	210	210	210	210
Other current assets	2,633	2,633	2,633	2,633
Total current assets	5,414	5,326	5,760	6,155
LT marketable securities	289	289	289	289
Non-current receivables	412	412	412	412
Property, plant and equipment	10,625	10,871	10,707	10,581
Intangibles	1,460	1,418	1,392	1,399
Investment in associates	56	56	56	56
Other non-current assets	1,426	1,426	1,426	1,426
Total non-current assets	14,267	14,471	14,282	14,164
Total assets	19,682	19,797	20,042	20,318
Trade payable	220	210	207	206
Unpaid expenses	2,108	2,108	2,108	2,108
S/T borrowing	0	0	0	0
Current portion of L/T borrowing	1,402	1,402	1,402	1,402
Other current liabilities	947	947	947	947
Total current liabilities	4,676	4,667	4,664	4,662
L/T borrowings	4,468	4,268	4,068	3,868
Other non-current liabilities	1,470	1,470	1,470	1,470
Total non-current liabilities	5,938	5,738	5,538	5,338
Share capital	3,445	3,445	3,445	3,445
Retained earnings	5,474	5,809	6,267	6,755
Others	-53	-53	-53	-53
Total shareholders' equity	8,867	9,202	9,660	10,148
Non-controlling interest	201	191	181	171
Total liabilities and equity	19,682	19,797	20,042	20,318

Cash Flow Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Net profit	509	692	849	895
Depreciation	2,210	2,257	2,286	2,339
Amortisation	487	488	475	470
Change in working capital	-5	-102	-18	-22
Other operating cash flow	-237	0	0	0
Cash flow from operations	2,964	3,335	3,592	3,682
Capital expenditure	-1,611	-2,231	-1,854	-1,948
Intangible spending	-372	-447	-449	-477
Other investments	-36	0	0	0
Cash flow from investments	-2,019	-2,678	-2,304	-2,425
Change in borrowings	-424	-200	-200	-200
Dividend paid	-279	-277	-301	-318
Other financing cash flow	-342	-361	-368	-365
Cash flow from financing activities	-1,045	-838	-869	-883
FX impact and other adjustments	-1	0	0	0
Net change in cash and equivalents	-102	-181	419	374
Beginning cash balance	896	794	613	1,032
Ending cash balance	794	613	1,032	1,406

Source: Company data, Morgan Stanley Research (E) estimates

Changes to our estimates

Exhibit 10: LG Uplus: Summary of changes to our consolidated estimates

KRW bn	Revised estimates			Old estimates			Difference (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
LG Uplus: Consolidated									
Total revenue	15,413	15,546	15,729	15,507	15,612	15,779	-0.6%	-0.4%	-0.3%
LGU Only	14,583	14,726	14,919	14,636	14,751	14,929	-0.4%	-0.2%	-0.1%
Service revenue	11,656	11,863	12,084	11,631	11,827	12,033	0.2%	0.3%	0.4%
Consumer wireless	6,747	6,833	6,941	6,796	6,886	6,994	-0.7%	-0.8%	-0.8%
Consumer smart home	2,662	2,720	2,769	2,636	2,677	2,710	1.0%	1.6%	2.2%
Telephony	327	306	287	319	299	280	2.4%	2.3%	2.2%
Enterprise infrastructure	1,910	1,993	2,078	1,900	1,984	2,068	0.5%	0.5%	0.5%
LG Hellovision (service only)	830	820	810	871	861	851	-4.7%	-4.7%	-4.8%
Handset revenue	2,927	2,863	2,835	3,005	2,925	2,896	-2.6%	-2.1%	-2.1%
Operating expenses	14,311	14,271	14,414	14,370	14,381	14,508	-0.4%	-0.8%	-0.7%
Labor	1,961	2,040	2,105	1,961	2,040	2,105	0.0%	0.0%	0.0%
Marketing	2,520	2,410	2,407	2,431	2,389	2,384	3.7%	0.8%	1.0%
Fees & charges	1,807	1,827	1,849	1,814	1,833	1,853	-0.4%	-0.3%	-0.2%
Depreciation	2,257	2,286	2,339	2,260	2,288	2,331	-0.1%	-0.1%	0.3%
Amortisation	488	475	470	488	475	470	0.0%	0.0%	0.0%
Cost of equipment	3,068	3,023	3,003	3,155	3,083	3,063	-2.7%	-2.0%	-2.0%
Interconnection fees	408	388	384	424	403	399	-3.7%	-3.7%	-3.7%
Other opex	1,802	1,824	1,857	1,838	1,871	1,904	-2.0%	-2.5%	-2.4%
Operating profit	1,102	1,274	1,316	1,136	1,231	1,271	-3.0%	3.6%	3.5%
OPM%	7.2%	8.2%	8.4%	7.3%	7.9%	8.1%			
EBITDA	3,847	4,036	4,125	3,884	3,994	4,073	-0.9%	1.0%	1.3%
EBITDA margin %	25.0%	26.0%	26.2%	25.0%	25.6%	25.8%			
Net profit for shareholders	702	859	905	694	802	849	1.2%	7.1%	6.7%
Diluted EPS (KRW)	1,633	2,028	2,169	1,613	1,892	2,034	1.2%	7.1%	6.7%
Modelware EPS (KRW)	1,633	2,028	2,169	1,613	1,892	2,034	1.2%	7.1%	6.7%
Capex	2,231	1,854	1,948	2,285	1,790	1,820	-2.3%	3.6%	7.1%

Source: Morgan Stanley Research (E) estimates

Exhibit 11: LG Uplus: Our estimates are broadly in line with consensus

KRW bn	MS			Consensus			MS vs. consensus %		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	15,413	15,546	15,729	15,605	15,922	16,251	-1.2%	-2.4%	-3.2%
EBITDA	3,847	4,036	4,125	3,843	3,893	3,944	0.1%	3.7%	4.6%
OP	1,102	1,274	1,316	1,124	1,214	1,280	-1.9%	5.0%	2.7%
NP	702	859	905	727	807	880	-3.5%	6.4%	2.9%

Source: Bloomberg consensus estimates, Morgan Stanley Research estimates

Valuation methodology

Our new price target of W17,000 is derived using sum-of-the-parts. For LG Uplus' parent, we apply a discounted cash flow (DCF) methodology to value the telecom operations, using a WACC of 7.9% (up from previous 7.4%), which reflects our higher risk-free rate assumption of 4.5% (up from 4%), and terminal growth rate of 1%.

To value LG Hellovision, we add back market value, adjusting for LGU's 50% stake.

Our bull case scenario value is lowered to W19,000 to reflect the higher WACC, while our bear case value remains unchanged at W13,000.

At our price target, LGU would trade at a 2026e P/E of 9x, with a 4.7% dividend yield, and TSR ratio of 6.1%.

Exhibit 12: LG Uplus: DCF valuation for LGU (parent) and SOTP valuation analysis

LGU Parent: Discounted cash flow valuation	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
KRW bn	0	1	2	3	4	5	6	7	8	9	10
NOPAT	830	960	993	1,036	1,077	1,074	1,062	1,067	1,068	1,042	1,032
+ D&A	2,650	2,671	2,719	2,732	2,716	2,758	2,808	2,832	2,864	2,935	2,985
- Capex and intangibles	-2,874	-2,497	-2,615	-2,826	-3,167	-3,447	-3,352	-3,123	-3,018	-2,911	-2,867
= FCF	606	1,135	1,096	941	626	386	518	776	914	1,066	1,151
									Terminal value		16,954
									Terminal growth rate		1.0%
									WACC		7.9%

LG Uplus: Fair value calculation		WACC calculation	
Present value of FCF	11,704	Risk free rate	4.5%
Net debt	-4,672	Equity risk premium	6.0%
50% stake in LG Hellovision	68	Beta	0.73
Fair value	7,100	Cost of equity	8.9%
Fair value per share (KRW)	17,000	Equity weighting	80%

Source: Morgan Stanley Research estimates.

Risk Reward – LG Uplus Corp (032640.KS)

We await the next key catalyst to trigger a re-rating.

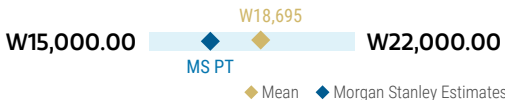
PRICE TARGET W17,000

Base case, sum-of-the-parts valuation.

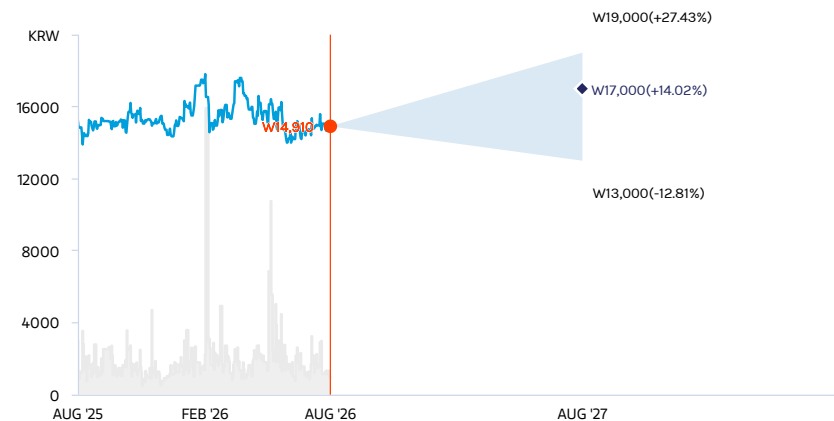
- Telecom operations: discounted cash flow (DCF). Key assumptions: WACC 7.9%, terminal growth rate 1%.
- Hellovision stake: market value proportionate to its 50% equity stake.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



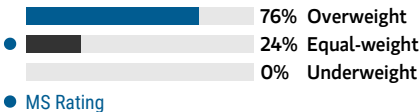
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- With management's focus on profitability, and coming off a restructuring in 2025, we see an earnings recovery playing out in 2026.
- We forecast higher growth from Enterprise, led by the company's new data center cluster in Paju.
- The company is gradually increasing dividends and share buybacks on the back of earnings improvement.
- Valuation is undemanding at 9x 2026e P/E and offering 6% TSR but given rising interest rates and investor focus on AI, we believe the stock needs a strong catalyst to drive a re-rating.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Negative

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W19,000

12x bull case 2026e EPS

We assume LGU parent's operating margins reach 12% over the medium term, supported by higher wireless revenues and lower capex. This drives RoIC higher to 10% levels over the longer term.

BASE CASE

W17,000

9x base case 2026e EPS

For LGU parent, we assume operating margins improve to 11% over the medium term, driven by healthy trends for consumer wireless and enterprise. We assume capex is held steady until 6G comes into play in 2030. We have RoIC improving to 8%-plus over the medium term.

BEAR CASE

W13,000

8x bear case 2026e EPS

We assume wireless ARPU growth is capped and capex ends up higher, resulting in operating margins peaking at 11% levels over the medium term. We also assume higher capex post 6G, driving RoIC below 8% over the longer term.

Risk Reward – LG Uplus Corp (032640.KS)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Wireless service revenue (W, bn)	6,371	6,465	6,566	6,676
Marketing spend (Parent) (W, bn)	2,346	2,520	2,410	2,407
Capital expenditure (Parent) (W, bn)	1,539	2,156	1,779	1,873

CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
03 Nov 2026 - 09 Nov 2026	Q3 2026 LG Uplus Corp Earnings Release	

INVESTMENT DRIVERS

- Future capital and spectrum spending
- B2B/enterprise revenues including AI data centers
- Competition-related marketing expenditure

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 MOST	3 Month Horizon
-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster service revenue growth from B2B segments (data center, leased line, etc.)
- Additional cost saving measures
- Increased shareholder returns

RISKS TO DOWNSIDE

- Regulatory risks associated with telecom pricing or capex
- Renewed competitive intensity on wireless

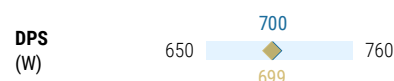
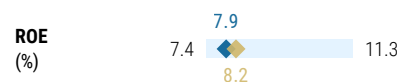
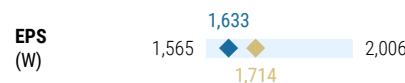
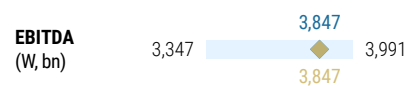
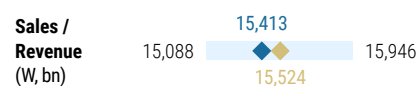
OWNERSHIP POSITIONING

Inst. Owners, % Active 72.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

SK Telecom: Maintain Equal-weight

Exhibit 13: SK Telecom: Consolidated financials

Income Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
SK Parent	12,051	12,469	12,485	12,479
SK Broadband	4,533	4,652	4,748	4,858
Others	515	500	500	500
Total revenue	17,099	17,622	17,733	17,838
Depreciation	2,362	2,317	2,372	2,417
Amortisation	807	790	779	764
Other operating expenses	12,857	12,538	12,516	12,525
Total operating expenses	16,026	15,645	15,667	15,706
Operating profit	1,073	1,976	2,067	2,132
SK Parent	812	1,521	1,557	1,607
SK Broadband	289	455	510	525
Operating profit margin	6.3%	11.2%	11.7%	12.0%
SK Parent	6.7%	12.2%	12.5%	12.9%
SK Broadband	6.4%	9.8%	10.7%	10.8%
Net finance income (expense)	-263	-253	-264	-249
Equity method gain (loss)	-64	0	0	0
Net non-operating income (expense)	-25	-52	-2	-2
Profit before tax	722	1,671	1,801	1,881
Income tax expense	347	384	414	433
Effective tax rate	48.1%	23.0%	23.0%	23.0%
Net income of non-controlling interest	-33	0	0	0
Net profit	408	1,287	1,387	1,448
Net profit margin	2.4%	7.3%	7.8%	8.1%
Earnings per share (KRW)	1,918	6,040	6,508	6,798
Dividend per share (KRW)	1,660	3,320	3,400	3,560

Key Ratios / Metrics

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Growth y-y				
Total revenue	-4.7%	3.1%	0.6%	0.6%
Operating profit	-41.1%	84.1%	4.6%	3.2%
Net profit	-73.0%	243.1%	7.8%	4.5%
Earning per share	-67.3%	215.0%	7.8%	4.5%
Profit margin				
Operating profit	6.3%	11.2%	11.7%	12.0%
Net profit	2.4%	7.3%	7.8%	8.1%
Net debt / (cash)	7,385	6,572	6,171	5,811
Net debt / equity	57.4%	48.9%	43.7%	39.3%
Working capital	1,222	786	799	810
Return on average equity	3.1%	9.8%	10.1%	10.0%
Return on assets	1.2%	4.2%	4.4%	4.5%
Free cash flow	1,601	1,520	1,126	1,118
FCF yield	11.5%	10.9%	8.1%	8.0%
FCF / revenue	9.4%	8.6%	6.4%	6.3%

Balance Sheet

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Cash and equivalents	1,490	2,303	2,705	3,065
S/T financial instruments	151	151	151	151
S/T investments	35	35	35	35
Receivables	4,054	3,862	3,887	3,910
Other current assets	996	996	996	996
Total current assets	6,727	7,348	7,774	8,157
LT investments	3,189	3,189	3,189	3,189
Equity investments	2,239	2,239	2,239	2,239
Property, plant & equipment	11,902	12,369	12,870	13,352
Goodwill	2,073	2,073	2,073	2,073
Intangibles	1,711	1,446	1,193	1,029
Other non-current assets	2,268	2,268	2,268	2,268
Total non-current assets	23,381	23,583	23,831	24,149
Total assets	30,108	30,931	31,605	32,306
Accounts payable	1,688	1,931	1,943	1,955
Unpaid expenses	1,346	1,346	1,346	1,346
S/T borrowings	1,253	1,253	1,253	1,253
Others	2,243	2,243	2,243	2,243
Total current liabilities	6,530	6,773	6,785	6,797
Bonds	7,294	7,294	7,294	7,294
L/T borrowings	300	300	300	300
L/T payables	179	179	179	179
Others	2,849	2,849	2,849	2,849
Total non-current liabilities	10,623	10,623	10,623	10,623
Share capital	-12,101	-12,101	-12,101	-12,101
Retained earnings	22,938	23,518	24,180	24,870
Others	2,026	2,026	2,026	2,026
Shareholders' equity	12,863	13,443	14,105	14,795
Non-controlling interest	92	92	92	92
Total liabilities and equity	30,108	30,931	31,605	32,306

Cash Flow Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Net profit	375	1,287	1,387	1,448
Depreciation	2,362	2,317	2,372	2,417
Amortization	807	790	779	764
Change in working capital	-1,233	435	-12	-11
Equity method gains	64	0	0	0
Other operating cash flow	1,549	0	0	0
Cash flow from operations	3,924	4,830	4,525	4,617
Capital expenditure	-2,207	-2,784	-2,873	-2,899
Intangible spending	-117	-526	-526	-599
Equity investment	-12	0	0	0
Other investments	598	0	0	0
Cash flow from investments	-1,737	-3,310	-3,398	-3,499
Change in borrowings	-628	0	0	0
Dividend paid	-628	-707	-724	-758
Other financing cash flow	-1,456	0	0	0
Cash flow from financing activities	-2,712	-707	-724	-758
FX impact	-4	0	0	0
Others	-5	0	0	0
Net change in cash and cash equivalents	-534	813	402	360
Beginning cash balance	2,024	1,490	2,303	2,705
Ending cash balance	1,490	2,303	2,705	3,065

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 14: SK Telecom: Parent-only financials

Income Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Service revenue	9,902	10,272	10,251	10,204
Interconnection revenue	380	357	339	329
Others	1,769	1,839	1,895	1,946
Total revenue	12,051	12,469	12,485	12,479
Labor	1,103	1,048	1,079	1,105
Sales commission	2,775	2,855	2,797	2,733
Other commission	2,033	1,941	1,927	1,908
Advertising	125	123	123	122
Depreciation and amortisation	2,634	2,624	2,636	2,643
Interconnection fees	406	389	370	359
Leased line	94	97	99	102
Frequency usage fees	100	100	100	100
Rent	127	85	86	87
Cost of goods sold	607	607	644	662
Other operating expenses	1,237	1,079	1,066	1,051
Total operating expenses	11,239	10,948	10,928	10,872
Operating profit	812	1,521	1,557	1,607
Operating profit margin	6.7%	12.2%	12.5%	12.9%
Net finance income (expense)	-65	-81	-63	-35
Net non-operating income (expense)	-18	-45	5	5
Gain (loss) on subsidiaries	8	5	0	0
Profit before tax	737	1,400	1,500	1,577
Corporate tax	326	322	345	363
Effective tax rate	44.2%	23.0%	23.0%	23.0%
Net profit	411	1,078	1,155	1,215
Net profit margin	3.4%	8.6%	9.2%	9.7%
Earnings per share (KRW)	1,929	5,060	5,420	5,701
Dividend per share (KRW)	1,660	3,320	3,400	3,560

Key Metrics

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Subscribers				
MNO	22,280	22,460	22,460	22,410
IoT	9,310	9,550	9,766	9,960
MVNO	1,775	1,925	1,925	1,925
Billing ARPPU	27,845	29,042	28,752	28,522
Churn rate	1.0%	0.8%	0.8%	0.8%
Handset upgrade rate	1.7%	1.6%	1.6%	1.6%
Marketing expense ratio	24.1%	23.9%	23.4%	22.9%
Net debt (cash)	5,850	5,405	4,931	4,176
Net debt (cash) / equity	48.8%	42.9%	37.2%	29.9%
Working capital	351	375	375	375
Return on average equity	3.6%	8.8%	8.9%	8.9%
Return on assets	1.6%	4.3%	4.4%	4.6%
Return on net tangible assets	6.4%	12.9%	13.5%	14.1%
Free cash flow	718	1,478	1,523	1,513
FCF yield	5.1%	10.6%	10.9%	10.8%
FCF/revenue	6.0%	11.9%	12.2%	12.1%

Balance Sheet

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Cash and equivalents	772	717	1,191	1,946
S/T financial instruments	89	89	89	89
Receivables	1,469	1,537	1,539	1,539
Prepaid expenses	1,997	1,997	1,997	1,997
Other current assets	605	605	605	605
Total current assets	4,933	4,946	5,422	6,176
L/T investments	2,397	2,397	2,397	2,397
Equity investments	5,893	6,218	6,543	6,543
Property, plant & equipment	6,711	6,748	6,845	6,939
Goodwill	1,306	1,306	1,306	1,306
Intangibles	1,230	1,052	866	748
Other non-current assets	2,679	2,637	2,598	2,563
Total non-current assets	20,216	20,358	20,554	20,496
Total assets	25,149	25,304	25,976	26,672
Accounts payable	1,527	1,571	1,574	1,573
Unpaid expenses	793	793	793	793
Deposits	774	774	774	774
Current portion of L/T borrowings	865	865	865	865
Other current liabilities	1,112	1,112	1,112	1,112
Total current liabilities	5,070	5,115	5,117	5,116
Bonds	5,417	5,417	5,417	5,417
L/T borrowings	300	-200	-200	-200
L/T payables	179	179	179	179
Deferred tax liability	1,277	1,277	1,277	1,277
Other non-current liabilities	914	914	914	914
Total non-current liabilities	8,087	7,587	7,587	7,587
Share capital	-4,548	-4,548	-4,548	-4,548
Retained earnings	15,200	15,811	16,481	17,177
Others	1,339	1,339	1,339	1,339
Total shareholders' equity	11,991	12,602	13,272	13,968
Total liabilities and equity	25,149	25,304	25,976	26,671

Cash Flow Statement

Year ending December 31	2025	2026E	2027E	2028E
KRW bn				
Net profit	411	1,078	1,155	1,215
Depreciation	1,968	1,949	1,954	1,955
Amortization	663	674	683	688
Chg in working capital	-355	-24	0	0
Other operating cash flow	67	240	240	240
Cash flow from operations	2,753	3,918	4,031	4,097
Capital expenditure	-1,261	-1,621	-1,686	-1,685
Intangible spending	-83	-496	-496	-570
Equity investment	-1,082	-325	-325	0
Other investments	872	0	0	0
Cash flow from investments	-1,554	-2,442	-2,507	-2,255
Issuance (repayment) of debt	180	-500	0	0
Issuance (repayment) of L/T payables	-369	0	0	0
Issuance (repayment) of bonds	-538	0	0	0
Dividend paid	-577	-707	-724	-758
Other financing cash flow	-288	-323	-326	-330
Cash flow from financing activities	-1,593	-1,530	-1,051	-1,088
FX impact	0	0	0	0
Net change in cash and cash equivalents	-393	-54	474	755
Beginning cash balance	1,165	772	717	1,191
Ending cash balance	772	717	1,191	1,946

Source: Company data, Morgan Stanley Research (E) estimates

Changes to our estimates

Exhibit 15: SK Telecom: Summary of changes to our parent-only and consolidated estimates

KRW bn	Revised estimates			Old estimates			Difference (%)		
SK Telecom: Parent only	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total revenue	12,469	12,485	12,479	12,473	12,478	12,471	0.0%	0.1%	0.1%
Service revenue	10,272	10,251	10,204	10,322	10,291	10,244	-0.5%	-0.4%	-0.4%
Interconnection revenue	357	339	329	357	339	329	0.0%	0.0%	0.0%
Others	1,839	1,895	1,946	1,794	1,848	1,898	2.5%	2.5%	2.5%
Operating expenses	10,948	10,928	10,872	10,944	10,926	10,927	0.0%	0.0%	-0.5%
Labor	1,048	1,079	1,105	1,014	1,045	1,070	3.3%	3.3%	3.3%
Marketing	2,979	2,920	2,855	2,918	2,894	2,867	2.1%	0.9%	-0.4%
Commissions	1,941	1,927	1,908	1,972	1,955	1,936	-1.5%	-1.4%	-1.4%
Depreciation	1,949	1,954	1,955	1,959	1,964	1,965	-0.5%	-0.5%	-0.5%
Amortisation	674	683	688	654	653	678	3.1%	4.6%	1.5%
Cost of equipment	607	644	662	628	647	664	-3.3%	-0.4%	-0.4%
Other opex	1,750	1,721	1,699	1,798	1,769	1,747	-2.7%	-2.7%	-2.8%
Operating profit	1,521	1,557	1,607	1,530	1,552	1,544	-0.6%	0.4%	4.1%
OPM %	12.2%	12.5%	12.9%	12.3%	12.4%	12.4%			
EBITDA	4,145	4,194	4,250	4,143	4,168	4,187	0.0%	0.6%	1.5%
EBITDA margin %	33.2%	33.6%	34.1%	33.2%	33.4%	33.6%			
Capex	1,621	1,686	1,685	1,622	1,685	1,684	0.0%	0.1%	0.1%
SK Telecom: Consolidated	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total revenue	17,622	17,733	17,838	17,795	17,887	17,981	-1.0%	-0.9%	-0.8%
SK Parent	12,469	12,485	12,479	12,473	12,478	12,471	0.0%	0.1%	0.1%
SK Broadband	4,652	4,748	4,858	4,622	4,709	4,810	0.7%	0.8%	1.0%
Others	500	500	500	700	700	700	-28.6%	-28.6%	-28.6%
Operating expenses	15,645	15,667	15,706	15,872	15,920	16,012	-1.4%	-1.6%	-1.9%
Depreciation	2,317	2,372	2,417	2,322	2,370	2,414	-0.2%	0.1%	0.1%
Amortisation	790	779	764	770	749	754	2.6%	4.0%	1.3%
Other opex	12,538	12,516	12,525	12,780	12,801	12,844	-1.9%	-2.2%	-2.5%
Operating profit	1,976	2,067	2,132	1,923	1,966	1,969	2.8%	5.1%	8.3%
SK Parent	1,521	1,557	1,607	1,530	1,552	1,544	-0.6%	0.4%	4.1%
SK Broadband	455	510	525	393	415	425	15.7%	22.9%	23.5%
OPM %	11.2%	11.7%	12.0%	10.8%	11.0%	11.0%			
SK Parent	12.2%	12.5%	12.9%	12.3%	12.4%	12.4%			
SK Broadband	9.8%	10.7%	10.8%	8.5%	8.8%	8.8%			
EBITDA	5,499	5,632	5,728	5,454	5,525	5,576	0.8%	1.9%	2.7%
EBITDA margin %	31.2%	31.8%	32.1%	30.7%	30.9%	31.0%			
Net profit to shareholders	1,287	1,387	1,448	1,223	1,324	1,340	5.2%	4.7%	8.1%
Diluted EPS (KRW)	6,040	6,508	6,798	5,741	6,216	6,294	5.2%	4.7%	8.0%

Source: Morgan Stanley Research estimates

Exhibit 16: Morgan Stanley vs. consensus: our estimates are broadly in-line with consensus

KRW bn	MS			Consensus			MS vs. consensus %		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	17,622	17,733	17,838	17,713	18,036	18,366	-0.5%	-1.7%	-2.9%
EBITDA	5,499	5,632	5,728	5,468	5,532	5,623	0.6%	1.8%	1.9%
Operating profit	1,976	2,067	2,132	1,944	2,069	2,181	1.7%	-0.1%	-2.2%
Net profit to shareholders	1,287	1,387	1,448	1,298	1,395	1,493	-0.8%	-0.6%	-3.0%

Source: Bloomberg consensus estimates, Morgan Stanley Research estimates

Valuation methodology

We apply a sum-of-the-parts valuation methodology using a dividend discount model for the telecoms business and target price-to-book (P/B) ratio for SK Broadband.

- **Wireless operations – DDM:** We apply a higher cost of equity of 8.5% (up from 8.0%) reflecting our increase in risk-free rate to 4.5% (from previous 4%). Our terminal growth rate is 2%.
- **AI investments – private placement valuation and market value:** We ascribe W4.6 trillion value to the company's investments in LLM and data center solution companies. We reference latest post money value for private companies and market value for listed entities with 30% holding company discount applied.

Reflecting the higher value of the AI investments into our SoTP valuation, our NAV is increased to W87,000 (up from previous W80,000), which we round up to W90,000. At our new price target, SKT would trade at a 2026e P/E of 15x with a 3.4% dividend yield.

For our bull case scenario value we apply no holding company discount to the AI investments. Coupled with slightly higher wireless revenue estimates, this raises our fair value to W130,000 (from W100,000).

For our bear case value we apply a 50% holding company discount to AI investments. Coupled with slower wireless growth, this results in our scenario value rising to W70,000 (from W65,000).

Exhibit 17: SK Telecom: Sum-of-the-parts calculation

Dividend discount valuation	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	
KRW bn	0	1	2	3	4	5	6	7	8	9	10	
Annual dividend payments	707	724	758	843	935	986	970	988	1,036	1,111	1,220	
											Terminal value	19,270
											Terminal growth rate	2.0%
											Cost of equity	8.5%

Sum-of-the-parts			
KRW bn	Method	Fair value	FV/share
SKT parent only	DDM	13,966	65,552
AI investments	Private valuation / market value	4,557	21,389
Fair value		18,523	87,000

Source: Morgan Stanley Research estimates

Risk Reward – SK Telecom Co Ltd (017670.KS)

We await more details relating to AIDCs economics.

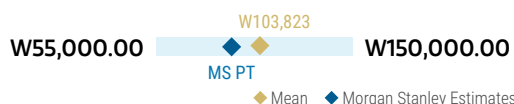
PRICE TARGET W90,000

Base case, sum-of-the-parts.

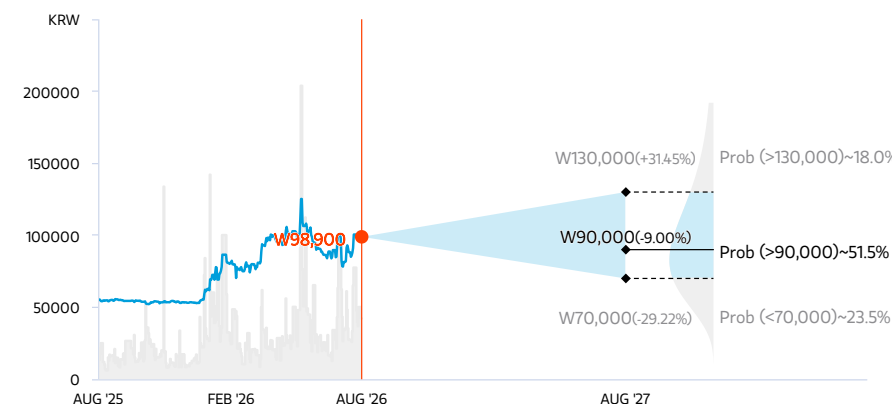
- Core telecom operations - dividend discount model (8.5% cost of equity; 2% terminal growth rate).
- AI investments - benchmark private transaction value or latest market value (for listed entities), with 30% holding company discount applied.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- We like the company's pro-active stance on AIDCs but would like to get better visibility on planned capacity, capex, business model, and expected returns.
- We believe quarterly dividends are likely to be maintained at current levels, with incremental free cash flow likely to be allocated to growth
- The value of SKT's AI investments have emerged as a key share price driver, which has increased share price volatility.
- We believe current share price reflects much of fundamentals.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W130,000

21x bull-case 2026e EPS

We reflect wireless revenue continue stable growth and lower capex levels. This drives consolidated OP to reach W2.5tn by 2030 allowing for faster increase in dividends. We assume W750bn in value accretion for SK Hyper implying attractive returns on invested capital. We apply no holding company discount for AI investments.

BASE CASE

W90,000

15x base-case 2026e EPS

We assume wireless revenue growth at 1% CAGR (2025- 2028e), with growth coming mostly from data center and cloud services. We assume parent capex remains low at 13-14% of service revenue until 6G rollout in 2030, and operating margins at 13% levels over the medium term. For SK Broadband, we assume operating margins improve to 12% levels by 2030 on the back of DC growth. We assume annual dividends of W3,320 in 2026 increasing to W4,000 by 2029. We apply 30% valuation discount to AI assets.

BEAR CASE

W70,000

11x bear-case 2026e EPS

We assume sustained decline in wireless revenues coupled with higher capex, resulting in RoIC falling below 10% over the longer term. Lower earnings result in slower increase in dividends. We ascribe no value to SK Hyper and also apply a higher 50% valuation discount to AI investments.

Risk Reward – SK Telecom Co Ltd (017670.KS)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Wireless service revenue (W, bn)	9,902	10,272	10,251	10,204
SK Broadband OP (W, bn)	2,900	2,979	2,920	2,855
Capital expenditure (Parent) (W, bn)	1,261	1,621	1,686	1,685

CATALYST CALENDAR

Date	Event
28 Aug 2026	SK Telecom Co Ltd Dividend For 017670.KS
28 Oct 2026 - 02 Nov 2026	Q3 2026 SK Telecom Co Ltd Earnings Release

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Wireless revenue growth
- AI infrastructure investment and returns
- Future valuation of AI investments

GLOBAL REVENUE EXPOSURE



● 100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Improved visibility on higher returns relating to data center investments
- Higher cost efficiency measures driving lower costs
- Higher valuation for AI investments

RISKS TO DOWNSIDE

- Lowered return outlook on AI data centers
- Renewed competition
- Lower returns for AI investments

OWNERSHIP POSITIONING

Inst. Owners, % Active 67.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (W, bn) 17,363 17,622 17,683 18,006

EBITDA (W, bn) 4,668 5,084 5,465 6,075

EPS (W) 4,285 6,040 5,976 7,418

ROE (%) 6.8 10.0 9.5 11.8

DPS (W) 1,660 3,320 3,299 3,660

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

KT Corp (030200.KS) - As of 08/26/26 GMT in KRW
Industry : S. Korea Telecoms & Internet



Stock Rating History: 8/1/21 : E/I; 8/11/21 : O/I; 12/7/21 : E/I; 3/21/22 : O/I; 2/27/23 : E/I; 9/12/23 : O/I; 2/24/26 : E/I

Price Target History: 5/18/21 : 32000; 8/11/21 : 43000; 12/7/21 : 35000; 3/21/22 : 40000; 5/26/22 : 44000; 8/24/22 : 46000; 11/25/22 : 44000; 2/27/23 : 30000; 6/23/23 : 35000; 8/29/23 : 37000; 10/17/23 : 41000; 12/11/23 : 42000; 4/4/24 : 45000; 6/19/24 : 46000; 9/5/24 : 48000; 11/11/24 : 58000; 4/3/25 : 60000; 2/24/26 : 70000; 6/29/26 : 64000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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LG Uplus Corp (032640.KS) - As of 08/26/26 GMT in KRW
Industry : S. Korea Telecoms & Internet



Stock Rating History: 8/1/21 : O/I; 3/21/22 : E/I; 6/19/24 : U/I; 5/8/25 : E/I; 7/28/25 : U/I; 10/16/25 : E/I; 1/13/26 : O/I

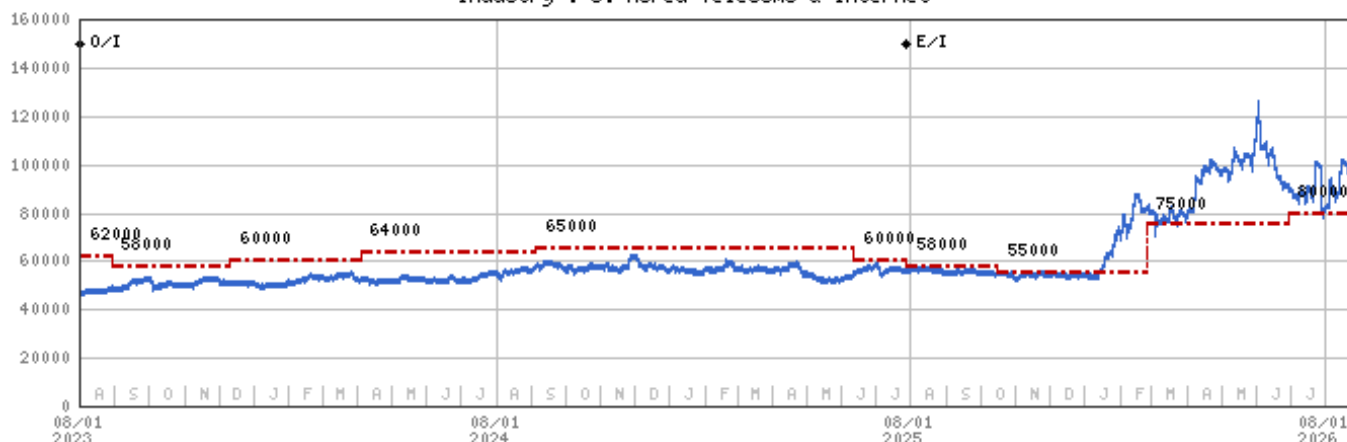
Price Target History: 5/19/21 : 18000; 8/25/21 : 17000; 12/7/21 : 16000; 3/21/22 : 15000; 8/24/22 : 13500; 11/25/22 : 13000; 3/27/23 : 12000; 8/29/23 : 11000; 12/11/23 : 10000; 4/4/24 : 9000; 6/19/24 : 8500; 9/5/24 : 8300; 4/3/25 : 9000; 5/8/25 : 11500; 7/28/25 : 12000; 10/16/25 : 16000; 2/24/26 : 19000; 6/29/26 : 18000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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SK Telecom Co Ltd (017670.KS) - As of 08/26/26 GMT in KRW
Industry : S. Korea Telecoms & Internet



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INDUSTRY COVERAGE: S. Korea Telecoms & Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/26/2026)
Seyon Park		
Coupang Inc (CPNG.N)	O (06/29/2022)	US\$16.69
Kakao Corp (035720.KS)	++	W36,350
Krafton Inc (259960.KS)	O (07/10/2026)	W228,000
KT Corp (030200.KS)	O (08/26/2026)	W53,300
LG Uplus Corp (032640.KS)	E (08/26/2026)	W14,900
Naver Corp (035420.KS)	E (08/20/2026)	W220,000
NC Corporation (036570.KS)	O (10/25/2024)	W226,500
SK Telecom Co Ltd (017670.KS)	E (07/28/2025)	W99,600
Sohyun Park		
DoubleU Games Co Ltd (192080.KS)	E (07/10/2026)	W58,900
Netmarble Games Corp (251270.KS)	E (05/14/2026)	W37,600
Pearl Abyss Corp (263750.KQ)	U (09/01/2025)	W32,450

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* Historical prices are not split adjusted.